rates only diverted funds from government securities to private sector issue.[4] In a similar vein it has been argued that the aggregate borrowings by provincial governments in the period 1940–46 which was only ₹41 crore could have been much higher if the interest rate was attractive. If large sums had been raised, the provinces could have promptly repaid their debts to the Centre in terms of the Niemeyer Award[5], rather than wait until 1945–46 when they started making interim payment.[6]

Deshmukh was also opposed to the government's suggestion for a state lottery arguing that 'there is a real danger of lottery loans merely attracting money which would either be already invested in a government security or would be intended for such investment.'[7] He also seems to have been against lottery loans on ethical grounds seeing them as encouragement of a spirit of gambling. The government nevertheless went ahead with the lottery scheme and the outcome was the issue of the Five-Year Interest-Free Prize Bonds, 1949, from 15 June 1944, in denominations of ₹10 and ₹100. This proved to be a failure and all that was raised was ₹5.3 crores from January 1944 to March 1946.

A wartime innovation was to give names to loans indicating the purpose for which the loan was floated. The first war issue was appropriately called 'Defence Bonds' and the loans issued till July 1943 were called 'Defence Loans'. Later, in March 1944, Deshmukh as Governor called the new loan to be floated 'Victory' in keeping with the then stage of the war. The next new issue was called a 'Development' loan.[8] The total debt from various sources increased by ₹1,048 crores between 1940 and 1946. Of this, the central government contributed only ₹29 crores, the state governments ₹52 crores, and the Reserve Bank ₹62 crores. The commercial banks took up ₹373 crores. More than half the amount was contributed by 'others' which included the Princely States. The Princes were largely behind the war effort, and it was easy for the Government of India to play on their loyalty to the Crown.[9]

It was also during the war years that the bank and the India Office disagreed on the subject of ways and means advances to government. The bank felt that these should be strictly short-term and that nothing should be done to violate the spirit of this provision by automatic renewals of any advance. The bank was empowered to make ways and means advances to government repayable in each case not later than three months from the